Initiation of Coverage

JX Advanced Metals

Validating the focus strategy

Equities

Japan

Non-Ferrous Metals

12-month rating	**Neutral**
	Prior : No Rating
12m price target	**¥3,700**
	Prior :
Price (14 Oct 2026)	**¥3,460**

RIC: 5016.T **BBG:** 5016 JP

Trading data and key metrics

52-wk range	¥5,720-1,602
Market cap.	¥3,233b/US$20.4b
Shares o/s	934m (ORD)
Free float	58%
Avg. daily volume ('000)	19,132
Avg. daily value (m)	¥71,386
Common s/h equity (03/27E)	¥675b
P/BV (03/27E)	4.5x
Net debt to EBITDA (03/27E)	1.5x

EPS (reported, basic) (JPY)

	From	To	% ch	Cons.
03/27E	-	192.6	-	197.6
03/28E	-	205.2	-	214.6
03/29E	-	236.0	-	246.7

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Need to increase the earnings weighting of AI-related materials

We initiate coverage of JX Advanced Metals, whose key growth driver is semiconductor materials, with a Neutral rating and a price target of ¥3,700. We expect OP for the Focus Businesses (40% of FY3/26 OP)—which comprise semiconductor materials, including semiconductor sputtering targets and InP (indium phosphide) substrates, and ICT materials, including titanium copper and rolled copper foil —to grow at a high CAGR of 30% over the next three years. However, consensus already factor in this high growth. In addition, as we expect valuation gains in the Base Businesses (60% of OP), whose main source of earnings is mining interests, to fall away next fiscal year, we can hardly expect strong growth in overall OP. Over the medium to long term, growth in InP substrates, a potential "golden egg," could drive earnings upside, but we are not yet convinced that high production yields can be sustained from FY3/29 onward. (see more APAC Focus)

Profit decline in Metals business offsets growth in the Focus Businesses

We forecast OP for the Focus Businesses at ¥105bn, ¥134bn, and ¥171bn in FY3/27–29, respectively. We expect semiconductor sputtering targets (65% global market share) to achieve growth above wafer shipment volumes, supported by an increase in wiring process steps as AI semiconductors become more advanced. InP substrates should also benefit from tight supply-demand conditions in both volume and pricing through around 2028. By contrast, with the rise in copper prices expected to run its course, we forecast Base Business profit to decline to ¥176bn in FY3/27 and ¥150bn in FY3/28 owing to the disappearance of valuation gains (-¥17bn).

Need greater conviction in excess returns from InP substrates

We believe sustainable improvement in profitability require assessment for InP substrate biz. While competitors use the VGF method, which is suited to producing high-value-added, large-diameter (4- to 6-inch) substrates, the company uses the LEC method, which is suied to mass production. As demand for larger diameters is expected to increase, the company plans to establish a new VGF production line (no mass production experience) for 6-inch substrates. We, however, forecast deterioration in production yields in the initial phase, as well as higher raw-material and depreciation costs . As a result, we expect the OP margin to reach 42% in FY3/28 before declining thereafter.

Valuation: Growth in the Focus Businesses is already priced in

Our ¥3,700 price target is derived by applying a 4.0X PBR to our FY3/28E diluted BPS of ¥911 (equivalent to 18X FY+1 PER). In addition to declining profit in the Base Businesses,we believe it difficult to expect the multiples to trend up while the market is still assessing the profitability of the highly anticipated InP substrate business. Based on the view above, we calculate PBR based on an average COE of 8.8% and an average ROE of 23.6% for FY3/28–29 (Figure 36).

Highlights (¥b)	03/24	03/25	03/26	03/27E	03/28E	03/29E	03/30E	03/31E
Revenues	1,512.3	714.9	884.6	1,068.0	1,152.0	1,244.0	1,345.0	1,423.0
EBIT (UBS)	86.2	112.5	175.0	267.0	271.0	309.0	340.0	362.0
Net earnings (UBS)	102.6	68.3	104.6	172.6	179.1	206.0	232.3	247.3
EPS (UBS, diluted) (¥)	110.5	73.5	112.7	189.4	201.4	231.7	245.8	261.7
DPS (net) (¥)	0.0	0.0	0.0	51.1	50.3	57.9	61.5	65.4
Net (debt) / cash	(385.8)	(281.6)	(298.8)	(478.3)	(554.5)	(608.2)	(649.6)	(592.5)
Profitability/valuation	**03/24**	**03/25**	**03/26**	**03/27E**	**03/28E**	**03/29E**	**03/30E**	**03/31E**
EBIT (UBS) margin %	5.7	15.7	19.8	25.0	23.5	24.8	25.3	25.4
ROIC (EBIT) %	-	15.5	23.5	32.6	29.7	29.6	28.7	28.2
EV/EBITDA (UBS core) x	-	6.4	7.6	11.2	10.5	9.2	8.2	7.5
P/E (UBS, diluted) x	-	12.6	15.4	18.3	17.2	14.9	14.1	13.2
Equity FCF (UBS) yield %	-	17.4	2.0	1.0	(1.0)	(0.3)	0.2	3.4
Dividend yield (net) %	-	0.0	0.0	1.5	1.5	1.7	1.8	1.9

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of ¥ 3,460 on 14-Oct-2026

This report has been prepared by UBS Securities Japan Co., Ltd.. **ANALYST CERTIFICATION AND REQUIRED DISCLOSURES, INCLUDING INFORMATION ON THE QUANTITATIVE RESEARCH REVIEW PUBLISHED BY UBS, BEGIN ON PAGE 24.**

UBSResearch THESIS MAP a guide to our thinking and what's where in this report

PIVOTAL QUESTIONS

Q: To what extent will the Focus Businesses benefit from briskness in the semiconductor market?
We forecast that OP will grow at a CAGR of 30% over the next three years, as we expect a contribution from increasing production of the company's mainstay semiconductor sputtering targets and InP substrates against a backdrop of AI demand.

Q: Will the InP substrate business grow into a future earnings pillar alongside semiconductor sputtering targets?
It could, but uncertainty remains. We expect the OP margin to peak at 42% in FY3/28 and decline thereafter, as deterioration in production yields during the ramp-up of the new production method and higher depreciation weigh on profitability.

Q: Can the Base Businesses continue to deliver profit growth?
This will likely be difficult. We expect earnings to decline in FY3/28 as valuation gains fall away as the sharp rise in copper prices runs its course and one-off factors reverse.

UBSVIEW

Our rating is Neutral. Sustained growth in the Focus Businesses, centered on semiconductor sputtering targets and InP substrates, is evident against a backdrop of AI demand. On the other hand, in terms of industry-wide supply-demand conditions and technological competitiveness, assessment is needed as to whether the company can continue to deliver higher profit margins than those of competitors in the InP substrate business, a major profit growth driver. Moreover, as the sharp rise in copper prices runs its course, a profit decline in the Mineral Resources business appears likely to offset growth elsewhere, leaving overall profit up only slightly in FY3/28, in our opinion.

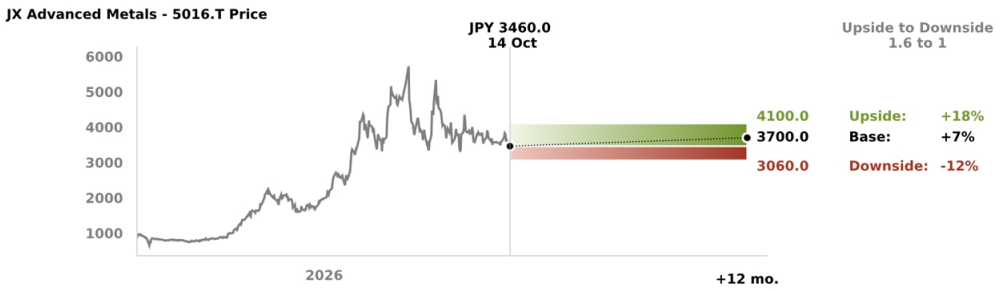
EVIDENCE

1) In addition to growth in wafer shipments, the UBS technology team expects an increase in N3-N2 capacity, which entails more wiring process steps. It also forecasts a 60% CAGR in demand for optical modules used with InP substrates over 2025–30.
2) The difficulty of manufacturing InP substrates increases markedly as substrate diameters become larger. The company is also adopting a new production method.
3) The current copper price is US$14,500 versus US$12,100 at the beginning of FY3/27. From FY3/27 onward, the UBS global team expects copper prices to rise more gradually.

WHAT'S PRICED IN?

The stock had outperformed TOPIX since its IPO but has underperformed by 30% since May, with 1yr forward PBR falling from 7X to 4X. We believe the market is pricing in slower earnings growth amid peaking copper and precious metals prices, as well as uncertainty over large-scale InP substrate expansion and its earnings contribution.

UPSIDE/DOWNSIDE SPECTRUM



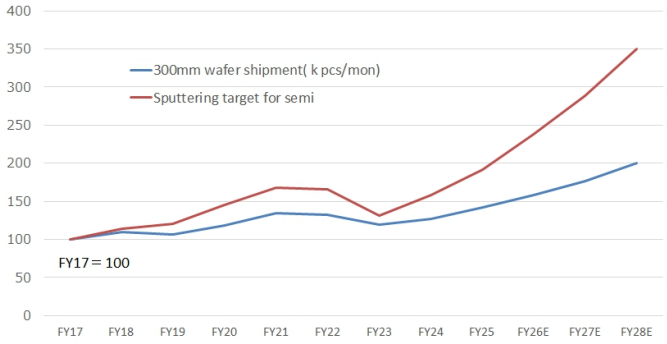
Value drivers	ROE (FY3/28-29 avg)	COE (FY3/28-29 avg)	PBR (FY3/28-29E)	BPS (FY3/28E)	Gap
¥4,100upside	25.5%	8.7%	4.4	931	+18%
¥3,700base	23.6%	8.8%	4.0	911	+7%
¥3,060downside	21.9%	9.3%	3.4	890	-12%

Source: UBS estimates

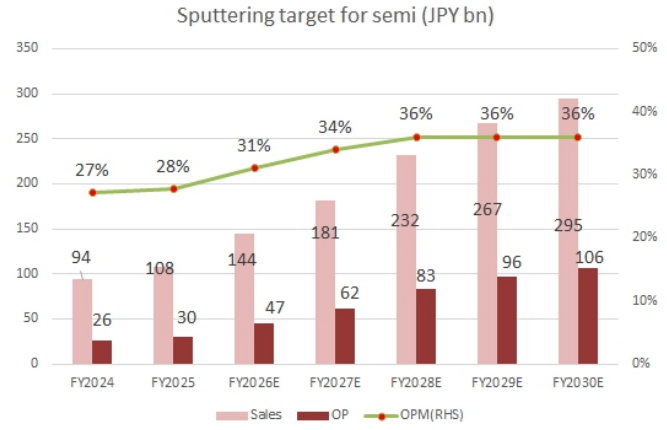
COMPANY DESCRIPTION

Founded as a copper mining and smelting firm, the company leverages its integrated supply system spanning resource development through recycling and advanced nonferrous-metal technologies to focus on developing advanced materials for semiconductors and ICT. ENEOS Holdings is the largest shareholder, with an approximately 35% stake.

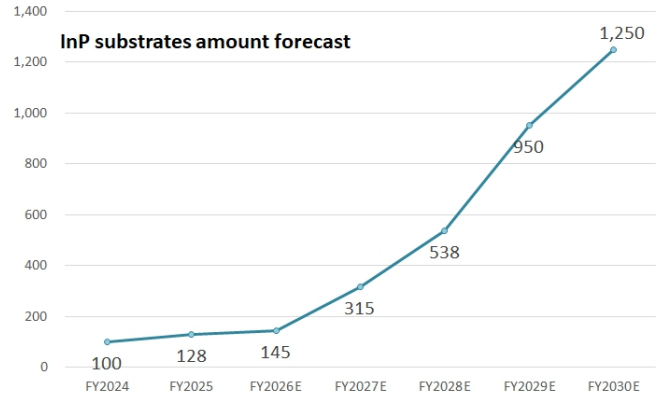
OUR THESIS IN PICTURES



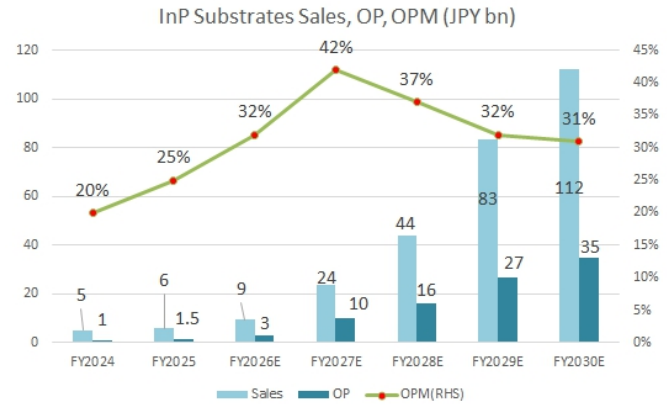
Semiconductor sputtering targets, the largest profit driver within the Focus businesses, benefit not only from growth in wafer volumes but also from an increase in wiring process steps.



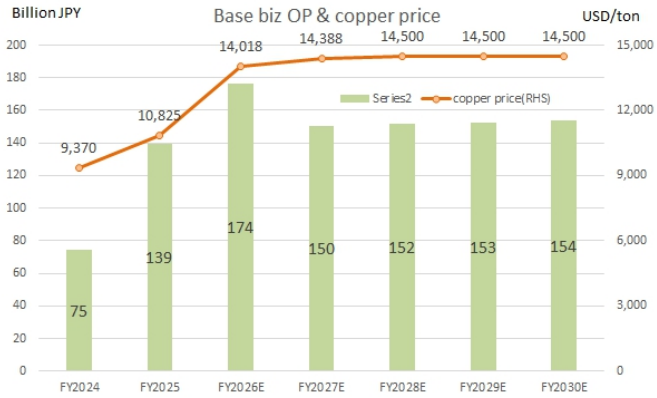
We expect the profitability of semiconductor sputtering targets to improve through volume growth and cost reductions.



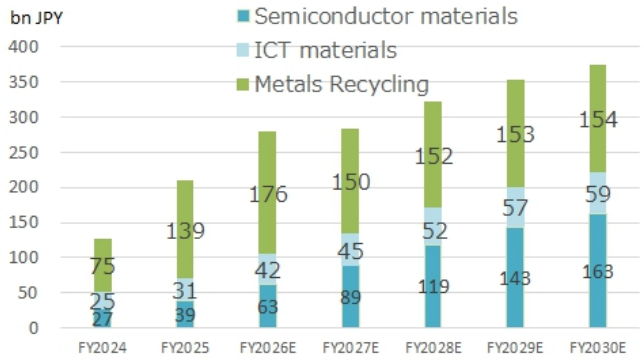
As the second growth pillar of Focus Businesses, InP substrates continue to ramp up on growing optical module demand.



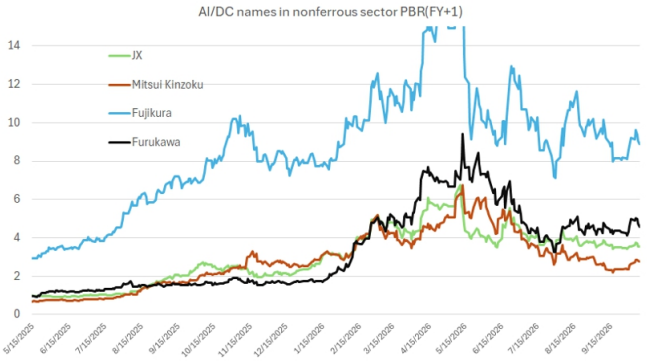
By contrast, we expect the profitability of InP substrates to decline on a deterioration in production yields and higher depreciation cost.



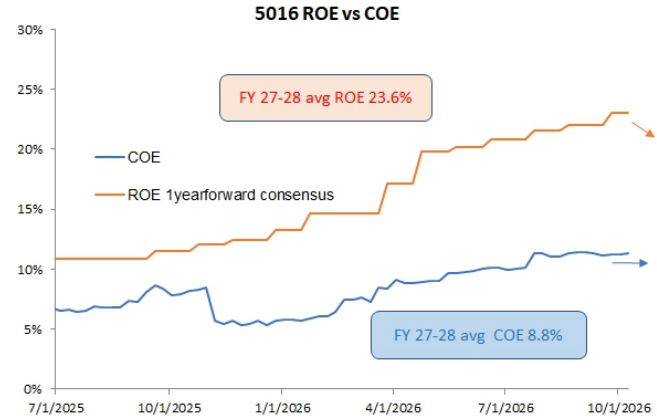
In FY3/28, we expect profit in the Base businesses to decline as the benefits of the sharp rise in copper prices run their course.



As a result, we forecast that overall OP growth will stall in FY3/28.



The PBR has moved in line with other AI/data centre-related names in the nonferrous metals sector.



With ROE expectations declining and COE likely to remain flat, we see limited room for multiple expansion.

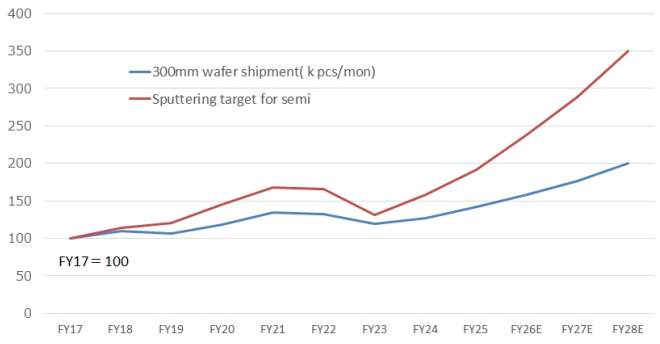
Sources for exhibits above: Company data, UBS Research

Semiconductor sputtering targets and InP substrates benefit from AI demand

Semiconductor sputtering targets: achieving cost reductions and stronger volume growth than wafers

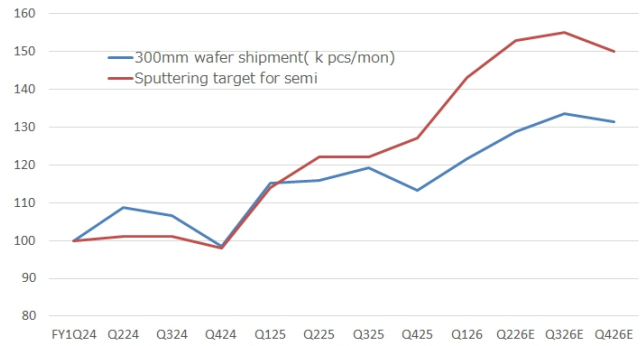
The company refers to its Semiconductor Materials and ICT Materials businesses as its "Focus Businesses," reflecting its policy of concentrating on AI-related products with medium- to long-term growth potential. Of these, near-term growth is expected to come from the Semiconductor Materials business. Semiconductor sputtering targets, the largest earnings contributor (the company has a 60% global market share), are used in the wiring process that connects transistors on semiconductor wafers. The UBS technology team forecasts 12-inch wafer demand volumes growing 11% yoy, 14.5%, and 12.9% in 2026–28, respectively, with AI demand as a tailwind (Link).

Figure 1: Semi sputtering target amount index & 12'' wafer shipment (FY, 2017=100)



Source: UBS Global tech team, UBSe

Figure 2: Semi sputtering target amount index & 12'' wafer shipment (Q, FY2024=100)



Source: UBS Global tech team, UBSe

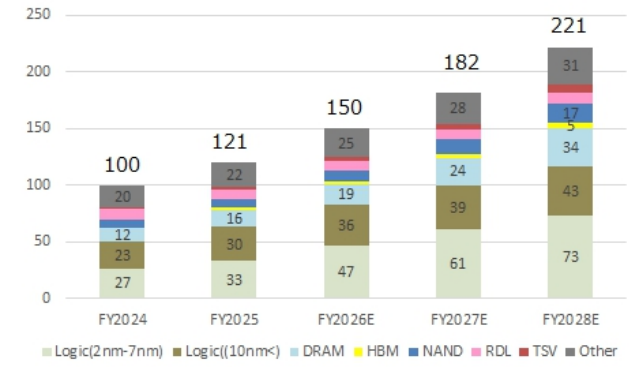
In addition, increasing miniaturisation of leading-edge semiconductors leads to more complex multilayer metal wiring structures to support signal transmission among the vast numbers of transistors. This increases the number of deposition processes and structurally raises target consumption per wafer. It is generally said that each advancement in generation adds roughly one wiring layer or two, and that leading-edge logic devices can have around 20 layers. The UBS technology team forecasts that industry's N3 manufacturing capacity will increase from 224 kwpm at end-2026 to 283 kwpm at end-2027 and 293 kwpm at end-2028, and that N2 capacity will rise even faster, from 111 kwpm to 200 kwpm and then 312 kwpm (Link).

Copper sputtering targets are used in through-silicon vias (TSVs), which vertically stack DRAM in HBM, and the number of stacked layers is expected to increase going forward. Moreover, consumption volume of redistribution layers (RDLs), which provide ultra-high-density wiring that connects GPUs and HBM, should rise as interposer areas become larger.

These structural factors should enable demand for sputtering targets to grow faster than wafer demand volumes. We forecast semiconductor sputtering target shipment volume growth of +24%, +21%, and +22% in 2026–28, respectively(Figure 3).

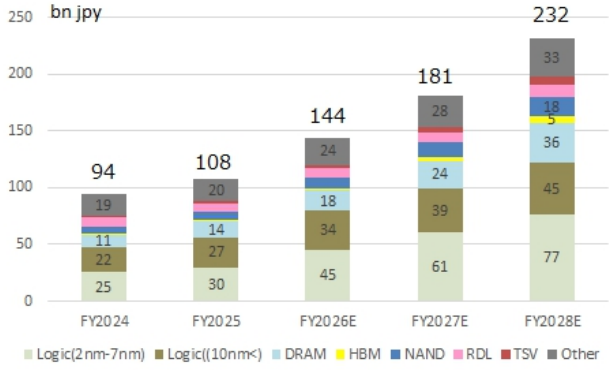
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Figure 3: Sputtering target amount forecast by application (FY24=100)



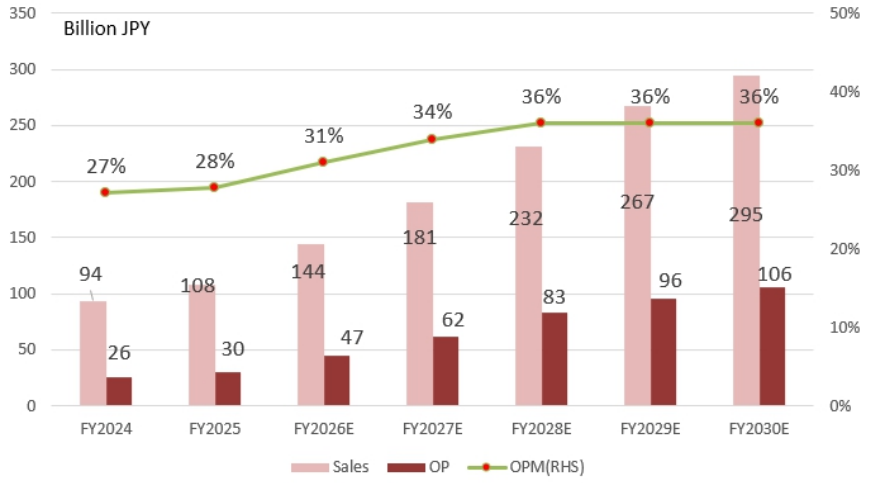
Source: UBSe

Figure 4: Sputtering target sales by application



Source: UBSe

Figure 5: Earnings forecasts for sputtering target for semi



Source: Company data, UBSe

In addition to volume growth, we also expect the OP margin to rise from around 30% at present, driven by an improved product mix, and cost reductions(shown as Figure 5). One reason why we expect the company to be able to maintain its competitive advantage in high-value-added products going forward is its ability to address increasingly diverse and sophisticated material requirements. Conventional copper wires used tantalum-based barrier metals to prevent copper diffusion. As line widths shrink, however, the barrier layer occupies a larger share of the area, making the resulting increase in wiring resistance unignorable. The industry is therefore shifting toward alloy materials (manganese) that can form thinner barrier layers. High-purity sputtering targets and new materials, which the company is focusing on, are well positioned to benefit from this structural shift.

On cost reductions, the existing Isohara Works relies heavily on manpower for manual cart transportation and traffic controls between processes. By contrast, the new Hitachinaka Factory, scheduled to start up in 2027, is set to be equipped with automated production lines incorporating robotic transport. The company plans to use the Hitachinaka factory as an automation test bed and to deploy the know-how gained there at the Isohara Works as well.

As for price increases, our forecasts factor in only price revisions at contract renewals, so any mid-contract price revisions would represent upside.

InP substrates: benefits from volume growth through around 2028 and quality competition from 2029 will be the key

While sales expand, there is a risk of profitability peaking

Following semiconductor targets, InP substrates represent the second growth pillar of the Focus businesses. InP substrates are materials used to form lasers and photodetectors in optical modules and are indispensable for high-speed optical communications for data centres. The UBS technology team forecasts that demand for pluggable optical modules for AI data centres will grow at a 60% CAGR through 2030 (Link). We expect industry-wide InP substrate supply to remain tight through 2028 due to technical barriers and lengthy qualification cycles. As one of the few suppliers capable of stable mass production, we think the company should benefit from both volume growth and favorable pricing.From 2029 onward, stable supply of larger 6-inch InP substrates will become increasingly important as demand shifts toward higher-bandwidth 1.6T and 3.2T products. While the company is expanding capacity, including 6-inch wafers, yield pressures, higher depreciation, and rising raw material costs suggest that volume growth may not fully translate into margin expansion. We forecast that OP from InP substrates will expand, but that the OP margin will peak at 42% in FY3/28 and decline thereafter. We discuss the details below.

Deatacom demand is forecast to grow 13x by 2030 from the 2025 level

Turning first to demand, the expected transition from 800G to 1.6T for AI data centres appears likely to push up demand for optical modules as transmission speeds rise, thereby boosting demand for InP substrates. We made a simplified estimate of InP substrate demand based on the UBS technology team's estimate of optical module shipment volumes for AI applications. The result indicates that datacom demand alone in 2030 would be roughly 13x higher than in 2025. Key assumptions in estimating InP substrate demand include InP substrate production yields, the number of chips obtained per wafer, the EML/CW adoption ratios, and the number of InP units required per chip. As comprehensive aggregation of these factors is difficult, readers should note that our current simplified assumptions have room for an update. With this in mind, we made simplified estimates based on following assumptions:

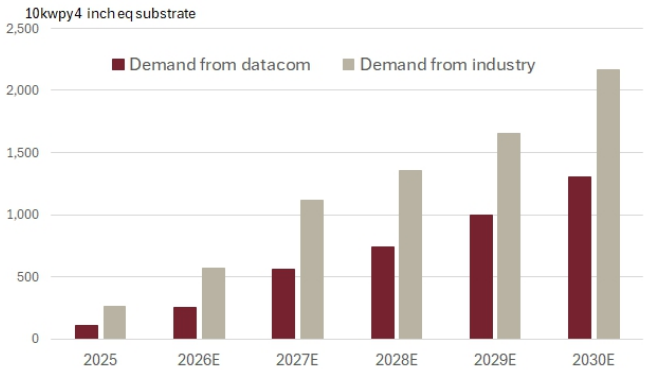
1) Conventional pluggable optical modules (EML) and SiPh-based optical modules (CW) will be the mainstream over the next two years. Based on technical commentary from Lumentum and Coherent, we assume the CW adoption ratio will increase faster than the EML ratio, as transmission speeds rise.

2) We assume 800G uses 100G×8 and 1.6T uses 200G×8.

3) We assume an industry-average substrate yield of less than 50%.

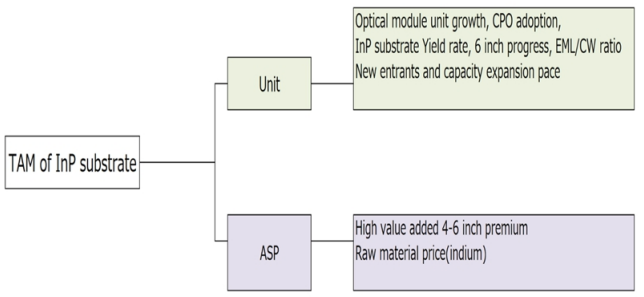
Because this estimate does not take into consideration demand for co-packaged optics (CPO), we see significant upside risk to demand forecasts beyond 2028.

Figure 6: InP substrates demand forecast



Source: Yole,UBSe

Figure 7: factors effect TAM of InP substrate



Source: UBS

Competition will increasingly hinge on 6-inch substrates

In an InP substrate market historically dominated by 2~4-inch wafers, the ability to mass-produce 6-inch substrates with consistent quality is likely to become a key competitive differentiator. While 4-inch substrates remain viable for 1.6T applications, 6-inch wafers

offer superior economics through higher productivity and lower costs. Coherent noted that moving from 3-inch to 6-inch wafers more than quadruples device output per wafer while roughly halving costs, and plans to quadruple its 6-inch epiwafer capacity by 2028.

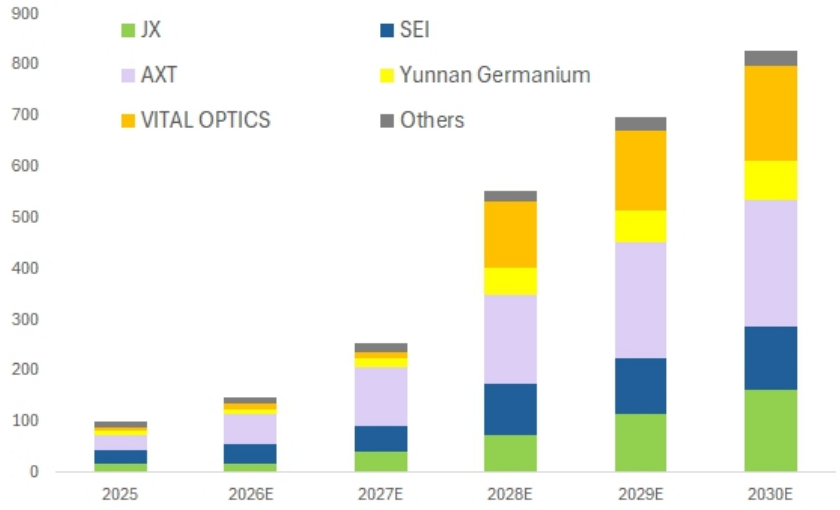
Supply shortage to persist through 2028.Scale and pace of capacity expansion by Chinese companies warrant close monitoring

On the supply side, high-quality InP substrates have high technological barriers to entry, and the global market is oligopolistic, centred on JX Advanced Metals, Sumitomo Electric Industries, and AXT. To capture medium- to long-term demand growth, the company plans to invest a total of ¥120bn in new buildings and equipment and expand production capacity by up to 10X by 2030. AXT, major competitors, plans to double capacity in 2026 and double it again in 2027. Sumitomo Electric Industries plans to raise capacity to 3.1X the FY3/25 level in FY3/29.

In our view, the key variable for industry supply is the pace of capacity expansion by emerging Chinese players. Companies such as Yunnan Germanium,targeting capacity 3x vs current level, and Vital Optics Technology, targeting annual production capacity of 1 million 6-inch compound semiconductor wafers by 2028, are planning aggressive capacity additions. However, technical challenges in achieving high yields and lengthy customer qualification processes suggest actual output may fall short of announced capacity. Even under a bullish scenario assuming announced capacity is fully realized, we estimates the InP substrate market will remain undersupplied through 2028.This is broadly in line with views expressed by industry experts interviewed by AlphaSense and Third Bridge.

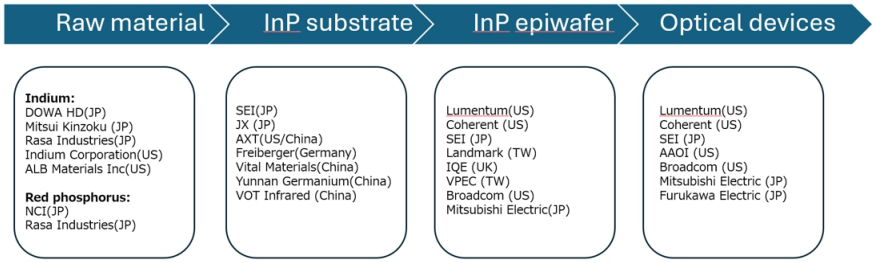
More importantly, tight supply-demand conditions could extend to 2030 for 6-inch substrates, as only Sumitomo Electric and AXT currently have the capability to stably mass-produce.While the company is keen to accelerate its capacity expansion plans, including 6-inch substrates, visibility on achieving a full 10x increase in production volume remains limited. We forecasts shipment volumes to rise by 10% in FY3/27, 2.5x in FY3/28, 4x in FY3/29, and 7x in FY3/30, all relative to FY3/26 (Figure 12).

Figure 8: InP substrates supply forecast (bull case, 2025=100)



Source: Yole,UBS

Figure 9: Supply chain of InP market



Source: UBSe

Figure 10: InP substrate producers capex plan

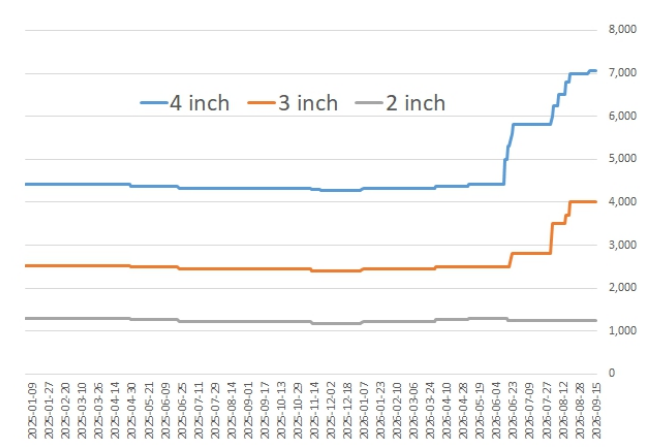
Major suppliers	Ticker	Country	Capacity	Capex plan	Manufacturing method
JX Advanced Metals	5016.T	Japan	Not disclosed	3x in 2028, 7-10x in 2030(vs fy2025)	LEC(2/3/4 inch), VGF/VB(4/6 inch)
Sumitomo Electric Industries	5802.T	Japan	Not disclosed	3.1x vs 2024 until 2028	VGF/VB
AXT	AXTI.O	US/China	35 million per Q in 2026, 65-70 million per Q by the end of 2027or early 2028	2x in 2026 vs 2025, 2x in 2027 vs 2026	VGF
Mid-small suppliers					
VITAL OPTICS TECHNOLOGY/Vital Materials	300489.SZ	China	end of 2026: 300k/mon(4 inch eq)	2028: 1million units /year (6inch eq, including GaAs)	VGF
Yunnan Germanium	002428.SZ	China	150 k units /month(4 inch, 2025). Actual shipment 100k	450k units/month(4 inch), in which 6,000 units for 6 inch /mon in 2028(construction period for 18 months)	VGF

Source: UBS, Company data

Scope for price increases amid tight supply-demand conditions

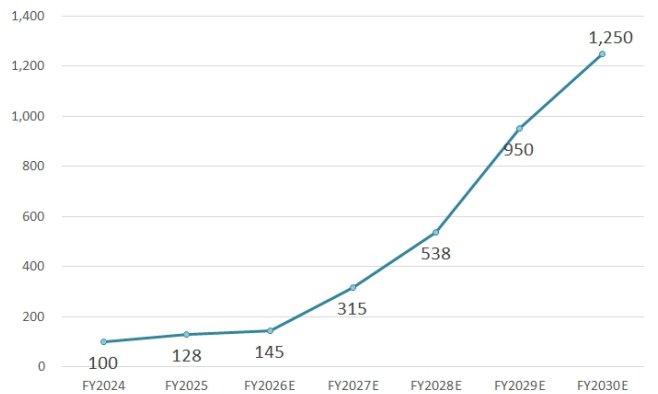
Given the tight supply-demand backdrop, we see further pricing upside in the near term. SMM pricing data show that prices of mainly 3- to 4-inch substrates have risen (Figure 11). In assessing JX Advanced Metals' InP substrate sales, the extent to which price increases can be realised is an important consideration alongside volume growth. We believe the company's strength in mass production should give it pricing power over the next one to two years against tight demand, and we therefore factor in price increases of 20–40%. However, we are not optimistic that substantial price hikes can continue. Demand is also likely to keep growing rapidly, so the market may not move immediately into significant oversupply. Nevertheless, as industry-wide capacity comes online, there is a risk that current high price levels and the pace of price increases will not be sustained.

Figure 11: InP substrate price (RMB/unit)



Source: SMM

Figure 12: UBSe InP substrate amount forecast (2024=100)



Source: UBSe

Meanwhile, the profitability of InP substrates is not necessarily on a steadily upward trajectory

Moving to 6-inch substrates is necessary for volume expansion but entails ramp-up risk

So far, we have highlighted the volume and pricing benefits from rising demand. AXT, which is ahead in 6-inch production, has already secured long-term supply agreements with Coherent and Lumentum for 6-inch substrates. While 6-inch capability is essential for JX Metals to maintain its competitive position, the ramp-up could also weigh on profitability. Understanding the manufacturing process of InP substrates is therefore key to assessing the opportunity and risks.

InP substrates are manufactured by melting indium and phosphorus at high temperatures and cooling the melt into a single crystal, so crystal growth with minimal impurities and defects is critical to quality. The LEC method pulls the crystal from the melt and is well suited to mass production, while the VGF method slowly solidifies the material in a vessel, making it easier to obtain low-defect, highly uniform crystals that are generally better suited to 6-inch production. JX Advanced Metals has primarily used the LEC method, leveraging its high-purity raw-material technology developed through its smelting business, but will shift toward VGF as it moves to larger diameters. However, moving to 6-inch substrates raises the difficulty of controlling phosphorus volatilisation, thermal stress, and defects, and will also require the company to ramp up mass production using a new manufacturing method. Although it has accumulated development expertise, we think higher costs due to lower yields should be assumed during the initial ramp-up phase.

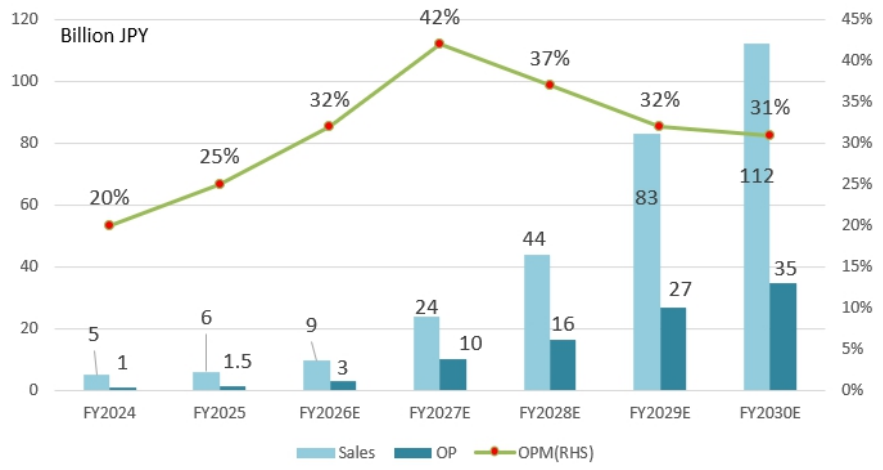
Figure 13: Manufacturing method of each InP substrate makers

	LEC	VGF(Vertical Gradient Freeze)/VB(Vertical Bridgeman)
Growth rate	5-15mm/hr	<2mm/hr
Wafer thickness	325um-675um	
Max diameter	6''	6''
Etch pit density for 4'' SI wafer	$<5x10^5cm^{-2}$	$<1x10^4cm^{-2}$
Benefits	Fast growth, low cost	High uniformity, low dislocation density crystal
Main challenges	High defects, thermal control	Low growth rate
Price	Relatively low cost	Cost effective
Key players	JX	SEI,AXT,Yunnan Germanium

Source: Yole

We think a heavier burden from depreciation and raw-material costs is also likely. The company plans to invest a total of ¥120bn to expand InP substrate production, which will raise depreciation once the new facilities begin operating. It currently uses relatively inexpensive raw materials accumulated in the past, but new procurement will be required as capacity expands by 10X, likely raising raw-material costs as well. The company has stated that it intends to maintain an OP margin of at least 30%, and we believe some price increases to offset higher costs are possible. However, as capacity expansion among competitors leads to an easing in supply-demand conditions, it is unclear whether the company can continue passing through lower yields, as well as higher depreciation and raw-material costs. We forecast InP substrate business OP of ¥3bn in FY3/27, ¥10bn in FY3/28, and ¥16bn in FY3/29, while expecting the OP margin to peak at 42% in FY3/28 and decline thereafter. Although we expect volume growth to lead to increased OP, the cost burden associated with the production ramp-up means that profitability will not necessarily rise steadily.

Figure 14: InP substrate earnings forecast



Source: UBSe

Figure 15: InP substrate OP breakdown YoY

InP Substrates Sales YoY	FY26	FY27	FY28	FY29	FY30	Comments
Amount	1	11	17	34	26	
(YoY)	13%	118%	71%	77%	32%	
Price	3	3	3	5	3	
(YoY)	40%	30%	20%	20%	10%	
Total YoY	3	15	20	39	29	
Sales	**9**	**24**	**44**	**83**	**112**	
OPYoY	FY26	FY27	FY28	FY29	FY30	
Amount	0.5	6.7	6.8	13.6	10.6	We assume the incremental margin remains at 60% through FY3/28, supported by low-cost raw material inventory. It then declines to 40% by 2030, reflecting higher feedstock costs and lower yields from new technology adoption.
Price	2.7	3.4	3.4	5.1	2.6	Price hike from new orders
Depreciation	(0.6)	(2.0)	(3.0)	(7.0)	(4.0)	Assuming a gradual ramp-up starting in 2029
Other fixed cost	(1.0)	(1.0)	(1.0)	(1.0)	(1.0)	
OP YoY	2	7	6	11	8	
OP	**3**	**10**	**16**	**27**	**35**	
OPM	32%	42%	37%	32%	31%	

Source: UBSe

Figure 16: Major capex plan release history

Capacity expansion	Capex	Scale	Ramp up timing	Release
Sputtering target	23	vs 2023 x1.6	2027 2H	3/10/2026
Automation of downstream process in Taiwan		vs 2026 x1.4	2027 June	6/1/2026
Automation of downstream process in Korea	4	vs Fy2025 2x	2027 2H	7/23/2026
Inp substrate	1.5	vs 2025 +20%	2026	7/23/2025
	3.3	vs 2025 +50%	2027	10/8/2025
	20	vs 2025 x3	from 2027	2/10/2026
	120	vs2025 x7-10	2030	6/15/2026
Magnetic devices supttering target		vs 2025+20%	2026 2H	6/11/2026
		vs 2025 1.5x	2029	9/25/2026
Functional tantalum powder		vs 2022 x1.5	2027 1H	6/9/2026
Ultra-Fine Nickel Powder Used in MLCCs		x2 vs current	from 2027	9/10/2026

Source: Company data, UBS

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Figure 17: Main products lineup in Focus businesses

	Subsegment		Product Name	Main Applications	Features	OP (%) (JPY bn, FY ending Mar. 2026)
Semiconductor Materials Business	Thin-Film Materials		Targets for Semiconductors	PVD process for forming functional thin films of metals, compounds, and other materials on semiconductor wafers	Approx. 65% global market share	30(17%)
			Magnetic Material Targets	For HDDs: used to form recording and underlayers on disk surfaces for high-density recording	Approx. 60% global market share	5(3%)
			InP Substrates	Light-emitting and light-receiving devices	One of the few suppliers capable of reliably supplying 2–4-inch substrates	1.5(1%)
			Materials for CVD/ALD	Semiconductor interconnect materials	Strength in Toho Titanium's chlorination technology	loss
	Tantalum & Niobium		Tantalum Powder for Sputtering Targets (approx. 30% of subsegment sales)	Materials for semiconductor targets	50% global market share for high-purity tantalum powder	-0.7
			Tantalum Powder for Capacitors (approx. 40% of subsegment sales)	Materials for tantalum capacitors		
ICT Materials Business	Functional Materials		Rolled Copper Foil	Materials for FPCs	Approx. 60% global market share	15(9%)
			Titanium Copper	Materials for connectors	Approx. 60% global market share	5.5(3%)
	Toho Titanium & Tatsuta Electric Wire	Toho Titanium	Titanium Sponge	Aircraft engine components	No. 3 worldwide sales share for titanium sponge	4.4 (Metal Titanium segment total)
			Ultrafine Nickel Powder (Chemicals)	MLCCs (multilayer ceramic capacitors)	No. 3 domestic sales share for nickel powder	0.2 (Chemicals segment total)
			THC Catalyst	Catalyst for manufacturing polypropylene and polyolefins used in packaging materials	No. 5 worldwide sales share for polypropylene catalysts	2.8 (Catalysts segment total)
		Tatsuta	Wires and Cables for Infrastructure and Industrial Equipment	Wire and cable materials for power plants	Low-friction cables	5
			Electromagnetic Shielding Film	Protection of internal smartphone circuits	80% market share	

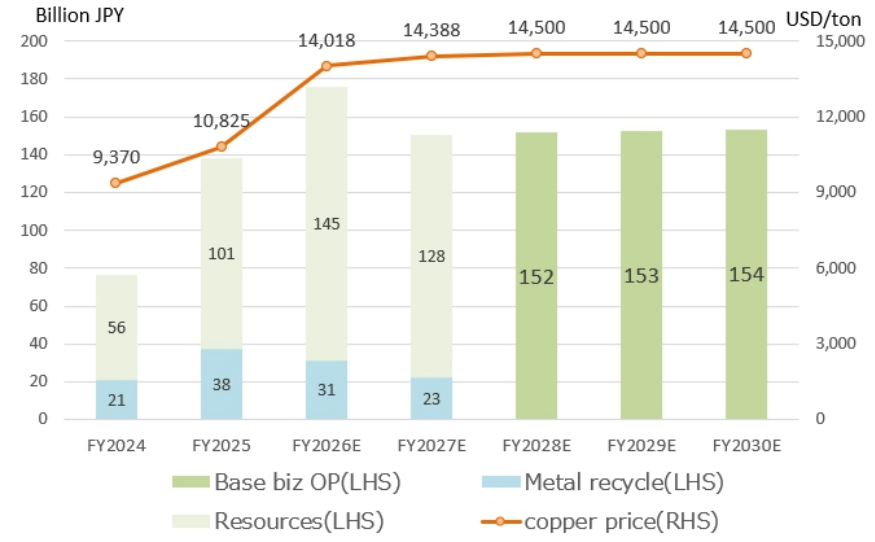
Source: UBS based on company data

Base Businesses: assuming the upswing in commodity prices runs its course

Unlike the Focus Businesses, which are expected to deliver sustained profit growth on the back of medium- to long-term AI demand, the Base Businesses book valuation gains and losses in line with fluctuations in commodity prices, particularly copper, during the fiscal year. The larger the movement in copper prices within the year, the greater the volatility in earnings. We assume that the recent sharp rise in copper prices will have largely run its course in FY3/28, resulting in lower earnings on the absence of previously recognized valuation gains, and because the Base Businesses account for more than half of total OP, the impact of such a shift on overall OP is substantial.

The Base Businesses mainly comprise the Mineral Resources segment, which recognizes earnings from interests in overseas copper mines (Figure 19), and the Metals & Recycling segment, which generates profits through collection margins on the recycling of precious metals and electronic scrap. In FY3/26–27, rising copper and precious metal prices boosted equity-method income from mining interests and increased the value of recovered precious metals, providing a positive benefit. However, the UBS global mining team forecasts only gradual commodity-price increases from 2027 (Link), with the moderation in price appreciation leading to the dropping off of valuations gains.

Figure 18: Base business OP and copper price



Source: Company data, UBSe

Figure 19: List of equity-method-accounted mines

Equity-method affiliate	Country	JX stake	Cash cost(UBS mining team e)
Caserones	Chile	25%	200-250 cent/lb
Los Pelambres	Chile	12.5%	150 cent/lb>
Escondida	Chile	3.0%	1500-200c/lb
Sold			Release date
Los Helados	Chile	30.9%	Mar 2026
La Rioja	Argentina	40.0%	10th Mar 2026
Quechua	Peru	stake from PPC	16th Dec 2025

Source: Company data, UBS Global Mining team estimates

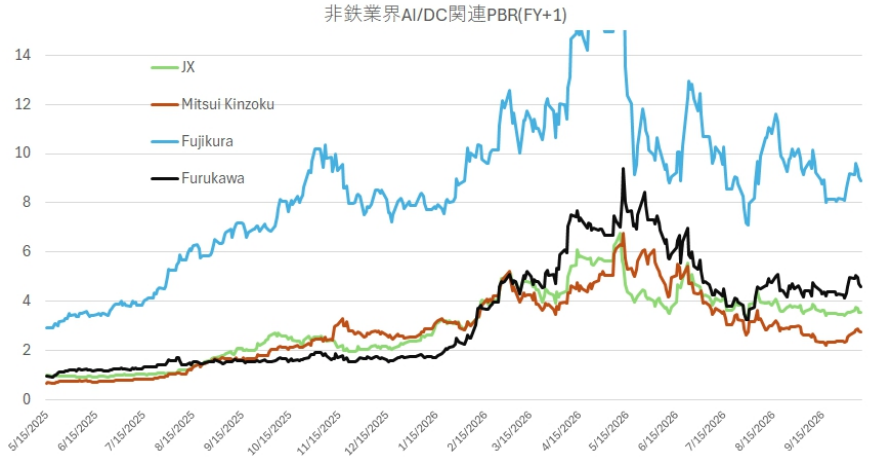
Figure 20: Segment summary

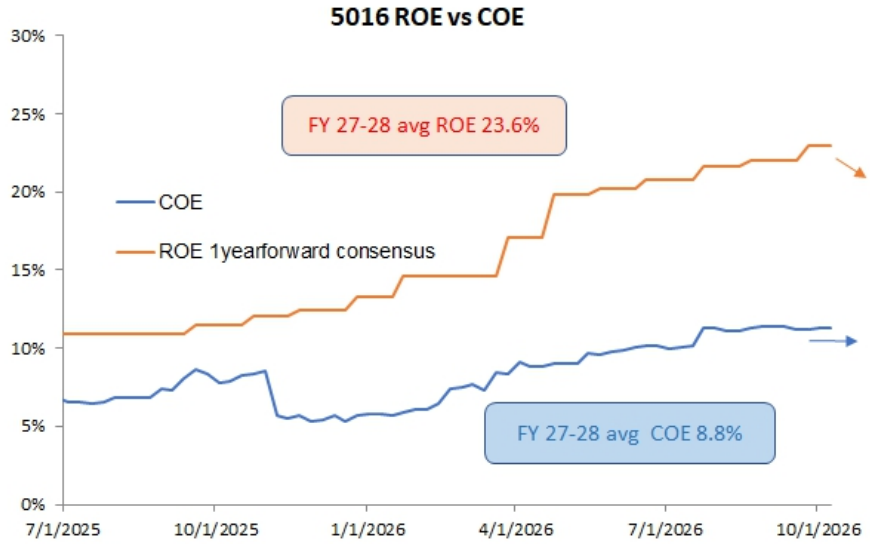
Forecast by segment	FY25	FY26	FY27	FY28	FY29	FY30	FY26			
	A	E	E	E	E	E	1Q A	2Q E	3Q E	4Q E
Total sales (JPY bn)	**879**	**1068**	**1152**	**1244**	**1345**	**1423**	**261**	**264**	**266**	**277**
Focus Businesses	**496**	**593**	**661**	**753**	**853**	**929**	**145**	**145**	**148**	**155**
Semi materials	177	235	288	361	442	505	52	58	59	66
ICT materials	319	358	373	392	411	424	93	87	89	89
Metals & Recycling	402	495	511	512	513	514	124	124	124	124
Others	10	10	10	10	10	10	2.0	2.5	2.5	2.9
Adjustment	(29)	(30)	(30)	(30)	(31)	(30)	(10.4)	(7.5)	(7.5)	(4.6)
Total OP (JPY bn)	**175**	**267**	**271**	**309**	**340**	**362**	**81**	**60**	**65**	**60**
Focus Businesses	**71**	**105**	**134**	**171**	**201**	**222**	**27**	**27**	**27**	**23**
Semi materials	39	63	89	119	143	163	14	16	17	15
ICT materials	31	42	45	52	57	59	13	11	10	8
Metals & Recycling	139	176	150	152	153	154	57	36	41	43
Others	2	2	2	2	2	2	0	0	0	1
Adjustment	*(37)*	*(15)*	*(15)*	*(15)*	*(15)*	*(15)*	*(2.9)*	*(2.9)*	*(2.9)*	*(6.7)*
OPM	**20%**	**25%**	**24%**	**25%**	**25%**	**25%**	**31%**	**23%**	**25%**	**22%**
Semi materials	22%	27%	31%	33%	32%	32%	28%	27%	29%	23%
ICT materials	10%	12%	12%	13%	14%	14%	14%	13%	11%	9%
Metals & Recycling	35%	36%	29%	30%	30%	30%	46%	29%	33%	35%
Others	19%	19%	19%	19%	19%	19%	5%	19%	19%	28%
Forex/Copper price										
USD/JPY	155	157	155	155	155	155	159	159	155	155
Cu(c/lb)	491	636	653	658	658	658	605	636	651	651

Source: Company data, UBSe

WHAT´S PRICED IN?

1year forward PBR has declined from a peak of 7X to 4X.





Source: Refinitiv

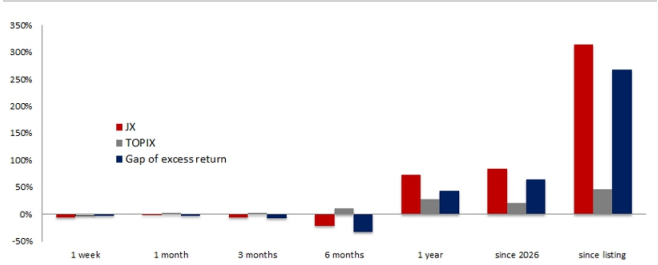
JX's 1-year forward P/B peaked at around 7X in early May, driven by (1) rising ROE expectations on stronger resource earnings (Figure 25) and (2) growing optimism over AI-related demand, particularly for semiconductor targets and InP substrates (sharp decline in risk premium, Figure 26). Since May 2026, however, the stock has underperformed TOPIX by roughly 30%(Figure 24). The FY3/26 results, which marked the turning point for the stock, triggered a 16.75% share price decline, driven by a dividend cut and the issuance of ¥250bn in convertible bonds. After that, following the announcement of a major InP substrate capacity expansion, forward P/B rebounded to nearly 6x, but has since fallen back to around 3.5x. We believe the de-rating reflects concerns over slowing earnings growth as copper and precious metals markets peak, as well as uncertainty surrounding the execution and profitability of the planned 7-10x expansion in InP substrate capacity.

Figure 23: PBR FY+1



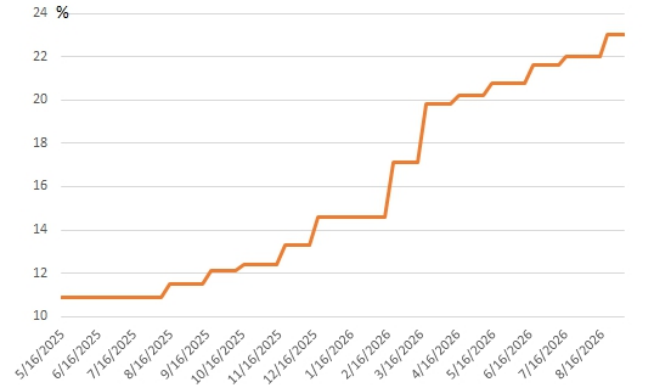
Source: Refinitiv

Figure 24: Stock performance by different periods



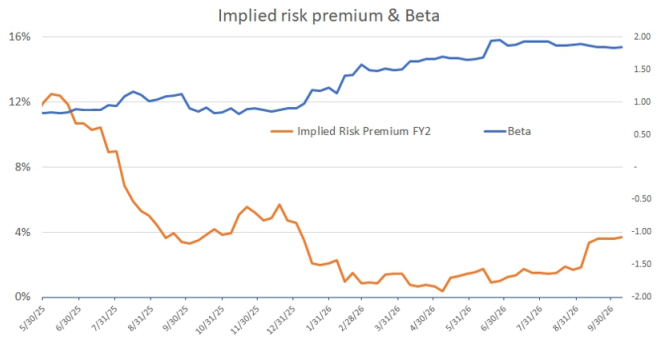
Source: Refinitiv

Figure 25: ROE cons (FY+1): supported by profit growth of base businesses



Source: Refinitiv

Figure 26: COE: Risk premium has declined sharply after IPO, then increased since May



Source: Refinitiv

Growth expectations increasingly priced in; now awaiting proof of monetization

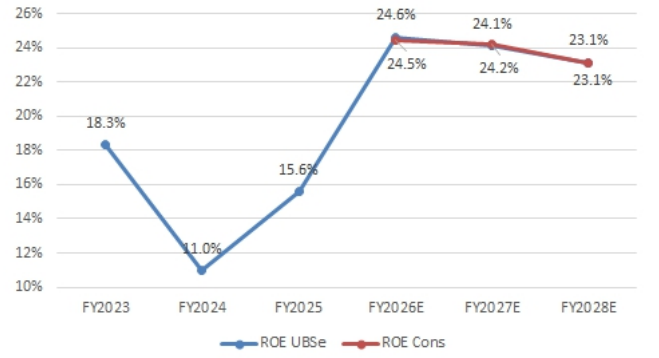
We believe future multiple trends will be driven primarily by the ROE/COE spread.We accordingly focus in particular on 1) growth investment that raises expected ROE, and 2) risk management and capital policy that restrains COE. We derive our price target based on PBR=ROE / (COE – g). For details on our valuation framework and cost-of-capital methodology, please refer to our 14 July 2021 Japan Metals Sector Initiation Report, "Adaptability directly linked to shareholder value".

We nevertheless remain cautious in regard to the potential for a further multiple expansion, as the likelihood of monetizing the growth scenario has yet to be sufficiently validated. In reality, the primary driver behind the increase in expected ROE for FY3/27 is not the Focus Businesses, but rather strong performance in the Base Businesses. As noted above, we forecast ROE to decline gradually as profit in the Mineral Resources business, which accounts for 70% of OP, declines, due partly to the disappearance of one-off factors. This works against the case for a multiple expansion. The market also

appears to expect a similar decline. We forecast ROE of 24.6% in FY3/27, 24.1% in FY3/28, and 23.1% in FY3/29, broadly in line with consensus.

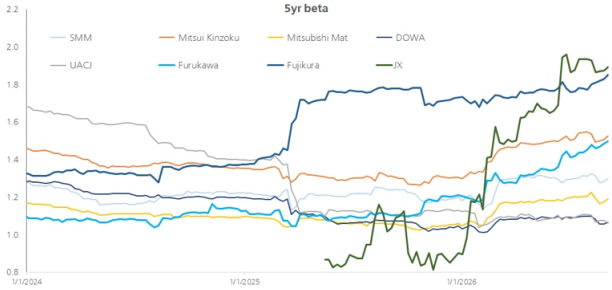
Further multiple expansion now requires proof of monetization rather than simply higher growth expectations. In particular, if the company demonstrates that investment in the Focus Businesses generates the expected returns and that the Mineral Resources business functions as a stable cash-generating base, expected ROE could rise further and beta could decline. The company's medium-term plan sets a target for ROE of at least 10% but does not indicate a commitment to sustained improvement.

Figure 27: ROE UBSe &Cons



Source: Refinitiv, UBSe

Figure 28: Nonferrous sector Beta

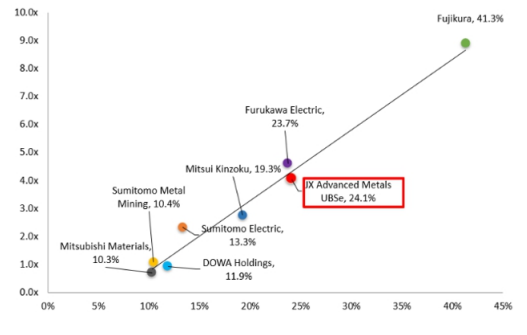


Source: Refinitiv

The share-price beta, a component of COE, is currently high at around 1.9, possibly reflecting both growth expectations for the InP substrate business and investment recovery risk. Mitsui Mining & Smelting, whose business structure is similar to that of the company, has lowered its beta through business portfolio reforms and improvements in its financial position. JX Advanced Metals could also have scope to reduce COE if it demonstrates that the Mineral Resources business functions as a cash cow supporting growth investment in the Focus Businesses.

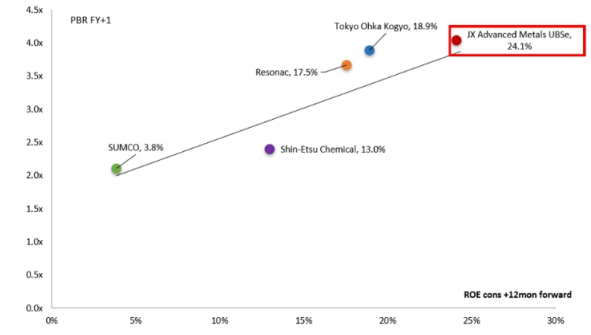
In growth areas such as semiconductor materials, however, a high beta is not necessarily a negative. If growth investment raises expected ROE by more than it increases COE, the ROE/COE spread widens. The market values the company in part as this type of growth company, but conviction in the profitability and recovery of the InP substrate investment is currently insufficient. The parent-subsidiary listing relationship with ENEOS Holdings also remains a source of uncertainty. Overall, we believe the market has already priced in a reasonable degree of growth expectation, but not yet proof of monetization. Our assumed PBR multiple of 4.0X appears at a reasonable level based on its historical ROE-P/B relationship (Figure 29-30).

Figure 29: PBR FY+1 vs ROE Cons (nonferrous sector)



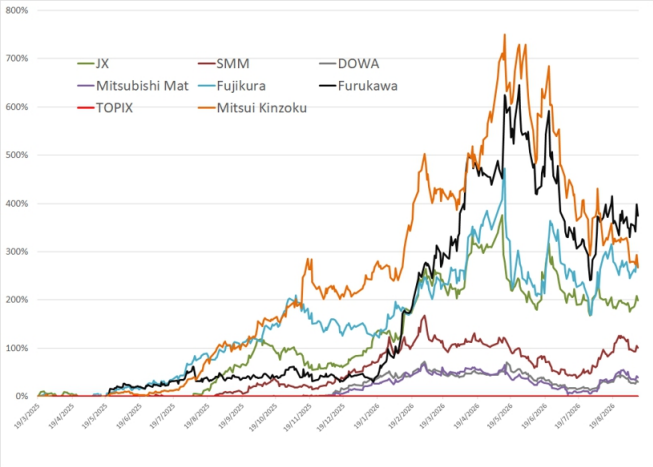
Source: Refinitiv, UBSe

Figure 30: PBR FY+1 vs ROE Cons (semiconductor materials)



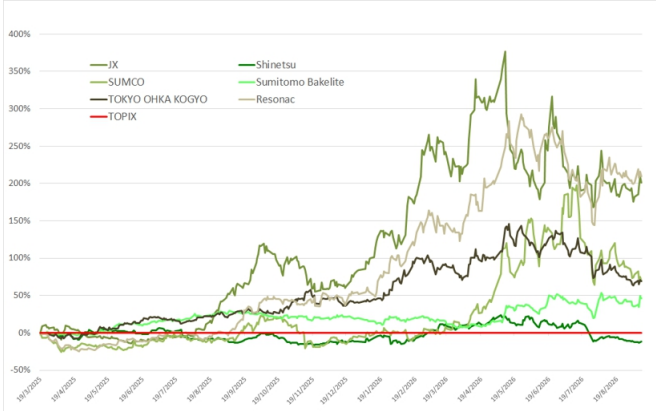
Source: Refinitiv, UBSe

Figure 31: Performance relative to Topix (nonferrous sector)



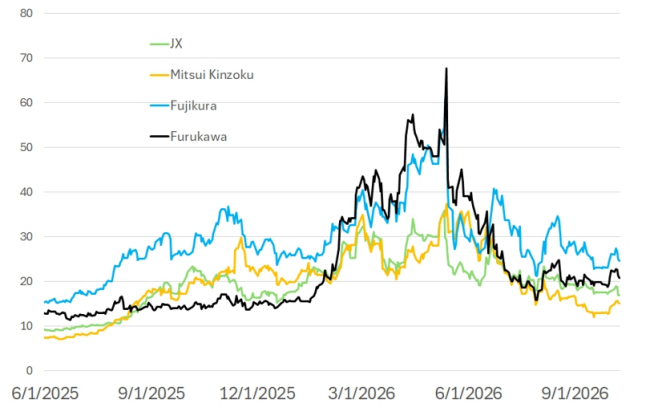
Source: Refinitiv

Figure 32: Performance relative to Topix (semiconductor materials)



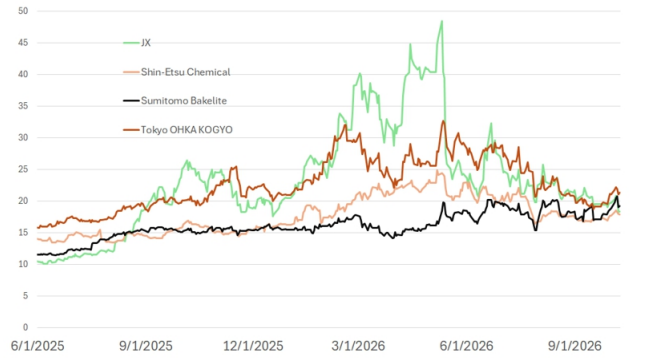
Source: Refinitiv

Figure 33: AI/DCrelated names' PER (FY+1) in nonferrous sector



Source: Refinitiv

Figure 34: Semiconductor material related sector PER (FY +1)



Source: Refinitiv

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Figure 35: Valuation summary

Company	Ticker	Mkt Cap (JPY bn)	P/E(x) FY1	P/E(x) FY2	P/E(x) FY3	P/B(x) FY1	P/B(x) FY2	P/B(x) FY3	EV/EBITDA FY1	EV/EBITDA FY2	EV/EBITDA FY3	ROE%
JX Advanced Metals Corp	**5016.T**	**3,448**	**18.3x**	**16.9x**	**14.7x**	**4.3x**	**3.6x**	**3.1x**	**10.6x**	**9.8x**	**8.9x**	**23.3%**
SUMCO CORPORATION	3436.T	1,203		40.2x	17.3x	2.2x	2.1x	1.9x	11.9x	9.9x	7.8x	
Resonac Holdings Corporation	4004.T	3,369	30.3x	21.2x	16.6x	4.2x	3.6x	3.0x	15.8x	12.5x	10.6x	13.8%
Shin-Etsu Chemical Co., Ltd.	4063.T	12,113	20.3x	17.8x	15.8x	2.5x	2.4x	2.3x	10.1x	9.9x	9.0x	12.1%
TOKYO OHKA KOGYO CO., LTD.	4186.T	1,196	26.2x	21.3x	18.1x	4.4x	3.8x	3.3x	15.6x	12.8x	11.0x	16.8%
Sumitomo Bakelite Co Ltd	4203.T	825	22.0x	19.2x	17.1x	2.2x	2.0x	1.9x	11.1x	9.8x	8.8x	9.9%
HOYA CORPORATION	7741.T	8,413	30.2x	26.7x	23.4x	8.2x	7.7x	7.1x	19.4x	17.6x	15.6x	27.2%
Semiconductor Materials Ave			25.8x	24.4x	18.0x	3.9x	3.6x	3.3x	14.0x	12.1x	10.5x	16.0%
Lumentum	LITE.O	15,822	51.1x	32.4x	23.4x	15.5x	10.1x	6.4x	35.6x	21.9x	15.9x	30.3%
Coherent	COHR.N	9,746	33.3x	22.2x	16.0x	5.3x	4.6x	3.9x	21.9x	15.7x	10.8x	16.0%
AXT	AXTI.O	711	79.6x	31.3x	20.8x	0	0	0	64.3x	99.0x	18.4x	0.0%
Yunnan Lincang Xinyuan Germanium Indu	002428.SZ	1,357	278.9x	107.1x	337.9x	37.1x	34.9x	32.3x	139.3x	67.3x	158.7x	13.3%
Optics Technology Holding Co Ltd	300489.SZ	918				0	0	0		20.1x	15.6x	
InP Ave			110.7x	48.2x	99.5x	19.3x	16.5x	14.2x	65.3x	44.8x	43.9x	14.9%
Mitsui Kinzoku Co Ltd	5706.T	1,531	16.8x	15.1x	13.8x	3.2x	2.7x	2.4x	11.1x	9.7x	8.6x	18.8%
Furukawa Electric Co Ltd	5801.T	2,903	27.0x	20.8x	16.4x	5.7x	4.6x	3.7x	18.4x	14.2x	11.4x	21.0%
Sumitomo Electric Industries, Ltd.	5802.T	7,518	20.5x	17.2x	14.6x	2.5x	2.3x	2.1x	11.0x	9.6x	8.3x	12.2%
Fujikura Ltd.	5803.T	9,636	27.1x	24.6x	20.0x	11.4x	8.9x	7.0x	21.5x	18.6x	16.3x	42.1%
ICT Material Ave			22.9x	19.4x	16.2x	5.7x	4.6x	3.8x	15.5x	13.0x	11.1x	23.6%
MITSUBISHI MATERIALS CORPORATION	5711.T	638	5.4x	7.4x	7.0x	0.8x	0.7x	0.6x	5.7x	7.4x	6.4x	14.2%
Sumitomo Metal Mining Co., Ltd.	5713.T	2,724	10.0x	10.1x	9.9x	1.2x	1.1x	1.0x	9.1x	9.5x	9.2x	11.6%
DOWA Holdings Co Ltd	5714.T	527	8.0x	8.2x	7.9x	1.0x	0.9x	0.9x	6.0x	5.9x	5.7x	12.6%
Basic materials Ave			7.8x	8.6x	8.3x	1.0x	0.9x	0.8x	6.9x	7.6x	7.1x	12.8%

Source: Refinitiv, as of 13 October 2026

Figure 36: PT summary

TP Calculation	UBS e
Target Price(JPY)	3,700
Theoretical P/BV(x)	4.03
BPS FY27e (JPY/share)	911
ROE Avg(FY3/28-FY3/29)	23.6%
COE Avg(FY3/28-FY3/29)	8.8%
Risk free rate	2.90%
Beta	1.90
Beta's Delta	-0.3
Risk premium	3.5%
Sustainable growth rate	2.9%

Source: UBS

COMPANY DESCRIPTION

Semiconductor Materials business

The segment's revenue includes that of the Thin Film Materials business and the Tantalum and Niobium business. In the Thin Film Materials business, semiconductor sputtering targets are the largest product category by revenue, followed by magnetic sputtering targets for HDDs. Although still small in scale, the company is focusing on developing InP substrates into an earnings pillar after sputtering targets. It also sells lithography materials to global semiconductor equipment manufacturers. In the Tantalum and Niobium business, high-purity tantalum accounts for 80% of revenue, with other chlorides accounting for around 20%. About half of the high-purity tantalum is used as a material in the company's sputtering targets, while the other half is tantalum powder for tantalum capacitors. This business is mainly operated by wholly owned subsidiary TANIOBIS GmbH, which manufactures and sells powders for capacitors and semiconductors at plants in Germany and Thailand. Future growth drivers appear likely to include volume growth in applications such as GPU power lines and DC/DC converters.

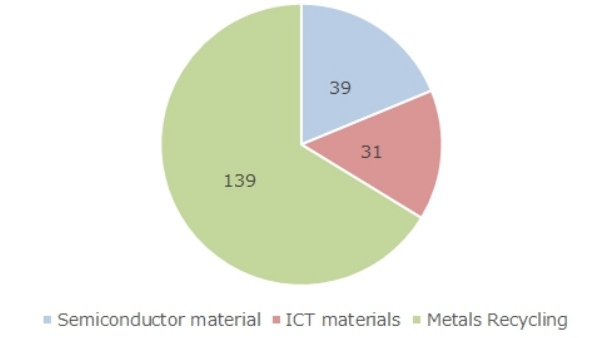
ICT Materials Business

Revenue includes that of the Functional Materials business and the Toho Titanium and TATSUTA Electric Wire & Cable businesses. The Functional Materials business consists mainly of rolled copper foil, titanium copper, and other wrought copper products such as phosphor bronze. Titanium copper used in connectors for AI servers in data centres is the main growth driver, and the company has indicated the possibility of a further capacity expansion. It is also focusing on improving profitability. For example, it plans to accelerate the shift toward high-value-added products by discontinuing phosphor bronze production, and progress in prioritizing capacity allocation to high-performance materials, including titanium copper, will be key. In addition to Toho Titanium, made a wholly owned subsidiary on 1 June 2026, strengthening synergies through its high-purity titanium and semiconductor precursor materials operations, TATSUTA Electric Wire & Cable, made a wholly owned subsidiary on 11 November 2024, provides electronic materials including electromagnetic-shielding film.

Metals & Recycling Business

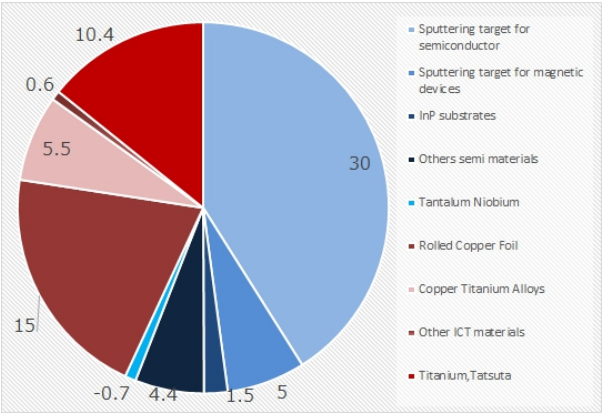
The business comprises the Mineral Resources segment, which recognizes earnings from interests in overseas copper mines, and the Metals & Recycling segment, which derives profit from collection margins on the recycling of precious metals and electronic scrap. In FY3/26, it accounted for approximately 60% of operating profit.

EBIT by segment (FY3/26, ¥bn)



Source: Company data

EBIT by product in focus business (FY3/26, ¥bn)



Source: Company data

JX Advanced Metals (5016.T)

Income Statement (¥b)	03/24	03/25	03/26	03/27E	%ch	03/28E	%ch	03/29E	03/30E	03/31E
Revenues	**1,512.3**	**714.9**	**884.6**	**1,068.0**	*20.7*	**1,152.0**	*7.9*	**1,244.0**	**1,345.0**	**1,423.0**
Gross profit	173.4	157.0	201.7	264.5	*31.2*	298.5	*12.9*	353.3	396.4	427.8
EBITDA (UBS)	**115.4**	**156.5**	**219.6**	**313.0**	*42.5*	**319.5**	*2.1*	**362.7**	**402.6**	**432.2**
Depreciation & amortisation	(29.2)	(44.0)	(44.7)	(46.0)	*-2.8*	(48.5)	*-5.6*	(53.7)	(62.6)	(70.2)
EBIT (UBS)	**86.2**	**112.5**	**175.0**	**267.0**	*52.6*	**271.0**	*1.5*	**309.0**	**340.0**	**362.0**
Associates & investment income	55.1	61.0	114.5	110.0	*-3.9*	110.0	*0.0*	110.0	110.0	110.0
Other non-operating income	(55.1)	(61.0)	(114.5)	(110.0)	*3.9*	(110.0)	*0.0*	(110.0)	(110.0)	(110.0)
Net interest	(7.5)	(5.0)	(5.9)	(6.7)	*-14.5*	(7.4)	*-9.4*	(9.2)	(9.6)	(10.3)
Exceptionals (incl goodwill)	0.0	0.0	0.0	0.0	-	0.0	-	0.0	0.0	0.0
Pre-tax profit	**78.7**	**107.5**	**169.1**	**260.3**	*53.9*	**263.6**	*1.3*	**299.8**	**330.4**	**351.7**
Tax	36.2	(26.1)	(40.3)	(57.3)	*-41.9*	(55.4)	*3.3*	(62.9)	(69.4)	(73.9)
Profit after tax	**114.9**	**81.4**	**128.7**	**203.0**	*57.7*	**208.3**	*2.6*	**236.8**	**261.0**	**277.9**
Preference dividends	0.0	0.0	0.0	0.0	-	0.0	-	0.0	0.0	0.0
Minorities	(12.3)	(13.1)	(24.1)	(30.5)	*-26.4*	(29.2)	*4.2*	(30.8)	(28.7)	(30.6)
Extraordinary items	0.0	0.0	0.0	0.0	-	0.0	-	0.0	0.0	0.0
Net earnings (local GAAP)	**102.6**	**68.3**	**104.6**	**172.6**	*64.9*	**179.1**	*3.8*	**206.0**	**232.3**	**247.3**
Net earnings (UBS)	**102.6**	**68.3**	**104.6**	**172.6**	*64.9*	**179.1**	*3.8*	**206.0**	**232.3**	**247.3**
Tax rate (%)	0.0	24.3	23.9	22.0	*-7.8*	21.0	*-4.5*	21.0	21.0	21.0

Per Share (¥)	03/24	03/25	03/26	03/27E	%ch	03/28E	%ch	03/29E	03/30E	03/31E
EPS (UBS, diluted)	110.5	73.5	112.7	189.4	*68.1*	201.4	*6.3*	231.7	245.8	261.7
EPS (local GAAP, diluted)	110.5	73.5	112.7	189.4	*68.1*	201.4	*6.3*	231.7	245.8	261.7
EPS (UBS, basic)	110.5	73.5	112.9	192.6	*70.5*	205.2	*6.5*	236.0	260.4	275.2
DPS (net) (¥)	0.0	0.0	0.0	51.1	-	50.3	*-1.6*	57.9	61.5	65.4
Cash EPS (UBS, diluted) [1]	141.9	121.0	160.8	239.9	*49.2*	255.9	*6.7*	292.0	312.1	335.9
Book value per share	675.7	662.7	782.5	773.6	*-1.1*	927.6	*19.9*	1,113.2	1,283.7	1,497.4
Average shares (diluted)	928.7	928.4	928.5	910.9	*-1.9*	889.4	*-2.4*	889.4	945.0	945.0

Balance Sheet (¥b)	03/24	03/25	03/26	03/27E	%ch	03/28E	%ch	03/29E	03/30E	03/31E
Cash and equivalents	36.8	58.3	66.3	61.8	*-6.8*	36.8	*-40.5*	36.8	36.8	93.8
Other current assets	464.4	435.9	556.9	566.3	*1.7*	601.8	*6.3*	614.1	628.9	641.8
Total current assets	**501.2**	**494.2**	**623.2**	**628.1**	*0.8*	**638.6**	*1.7*	**650.9**	**665.6**	**735.7**
Net tangible fixed assets	328.2	371.8	406.8	467.1	*14.8*	579.4	*24.0*	711.7	850.3	900.6
Net intangible fixed assets	33.5	27.7	27.1	26.5	*-2.4*	25.8	*-2.6*	25.1	24.3	23.4
Investments / other assets	463.0	389.3	448.2	552.3	*23.2*	663.1	*20.1*	774.0	884.8	995.6
Total assets	**1,325.9**	**1,283.0**	**1,505.3**	**1,674.0**	*11.2*	**1,906.9**	*13.9*	**2,161.6**	**2,425.0**	**2,655.3**
Trade payables & other ST liabilities	108.3	149.6	195.7	200.6	*2.5*	218.7	*9.0*	226.9	238.4	246.1
Short term debt	232.5	128.3	155.9	233.5	*49.7*	233.5	*0.0*	108.5	108.5	108.5
Total current liabilities	**340.7**	**277.9**	**351.7**	**434.1**	*23.4*	**452.2**	*4.2*	**335.4**	**346.9**	**354.5**
Long term debt	190.2	211.6	209.2	306.7	*46.6*	357.8	*16.7*	536.5	577.9	577.9
Other long term liabilities	74.2	81.7	106.2	115.7	*8.9*	115.7	*0.0*	115.7	115.7	115.7
Preferred shares	0.0	0.0	0.0	0.0	-	0.0	-	0.0	0.0	0.0
Total liabilities (incl pref shares)	**605.1**	**571.2**	**667.1**	**856.4**	*28.4*	**925.7**	*8.1*	**987.6**	**1,040.5**	**1,048.1**
Common s/h equity	**627.4**	**615.3**	**726.5**	**675.4**	*-7.0*	**809.8**	*19.9*	**971.9**	**1,153.7**	**1,345.7**
Minority interests	93.4	96.5	111.8	142.2	*27.2*	171.4	*20.5*	202.2	230.9	261.4
Total liabilities & equity	**1,325.9**	**1,283.0**	**1,505.3**	**1,674.0**	*11.2*	**1,906.9**	*13.9*	**2,161.6**	**2,425.0**	**2,655.3**

Cash Flow (¥b)	03/24	03/25	03/26	03/27E	%ch	03/28E	%ch	03/29E	03/30E	03/31E
Net income (before pref divs)	102.6	68.3	104.6	172.6	*64.9*	179.1	*3.8*	206.0	232.3	247.3
Depreciation & amortisation	29.2	44.0	44.7	46.0	*2.8*	48.5	*5.6*	53.7	62.6	70.2
Net change in working capital	(0.1)	20.7	(39.6)	(4.5)	*88.6*	(17.4)	*-284.6*	(4.1)	(3.2)	(5.3)
Other operating	(93.4)	82.4	(2.2)	(72.8)	*NM*	(80.8)	*-11.0*	(79.2)	(81.3)	(79.4)
Operating cash flow	**38.4**	**215.4**	**107.5**	**141.2**	*31.3*	**129.4**	*-8.3*	**176.4**	**210.4**	**232.7**
Tangible capital expenditure	(84.4)	(63.4)	(75.5)	(106.8)	*-41.4*	(161.3)	*-51.0*	(186.6)	(201.8)	(121.0)
Intangible capital expenditure	(0.2)	(2.2)	(0.5)	(0.6)	*-20.7*	(0.7)	*-7.9*	(0.7)	(0.8)	(0.9)
Net (acquisitions) & disposals	0.0	0.0	0.0	0.5	-	0.5	*0.0*	0.5	0.5	0.5
Other investing	162.9	39.1	(2.3)	(0.8)	*63.1*	(0.8)	*0.0*	(0.8)	(0.8)	(0.8)
Investing cash flow	**78.2**	**(26.5)**	**(78.3)**	**(107.7)**	*-37.6*	**(162.3)**	*-50.6*	**(187.6)**	**(202.9)**	**(122.1)**
Equity dividends paid	(25.8)	(97.8)	(36.9)	(28.8)	*21.9*	(44.7)	*-55.1*	(44.0)	(50.6)	(55.2)
Share issues / (buybacks)	0.0	(1.0)	(1.5)	(194.9)	*NM*	0.0	-	0.0	0.0	0.0
Other financing	4.5	0.5	2.6	0.0	-	0.0	-	0.0	0.0	0.0
Change in debt & pref shares	(128.6)	(73.5)	13.4	184.5	*NM*	51.2	*-72.3*	53.7	41.4	0.0
Financing cash flow	**(149.9)**	**(171.8)**	**(22.3)**	**(39.2)**	*-75.8*	**6.5**	-	**9.8**	**(9.2)**	**(55.2)**
Cash flow inc/(dec) in cash	**(33.3)**	**17.2**	**6.9**	**(5.8)**	-	**(26.4)**	*-355.8*	**(1.5)**	**(1.6)**	**55.4**
FX / non cash items	-	4.4	1.1	1.3	*20.7*	1.4	*7.9*	1.5	1.6	1.7
Balance sheet inc/(dec) in cash	**-**	**21.5**	**8.0**	**(4.5)**	-	**(25.0)**	*NM*	**0.0**	**0.0**	**57.1**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

JX Advanced Metals (5016.T)

Valuation (x)	03/24	03/25	03/26	03/27E	03/28E	03/29E	03/30E	03/31E
P/E (local GAAP, diluted)	-	12.6	15.4	18.3	17.2	14.9	14.1	13.2
P/E (UBS, diluted)	-	12.6	15.4	18.3	17.2	14.9	14.1	13.2
P/CEPS	-	7.7	10.8	14.2	13.3	11.6	10.5	9.8
Equity FCF (UBS) yield %	-	17.4	2.0	1.0	(1.0)	(0.3)	0.2	3.4
Dividend yield (net) %	-	0.0	0.0	1.5	1.5	1.7	1.8	1.9
P/BV	-	1.4	2.2	4.5	3.7	3.1	2.7	2.3
EV/revenues (core)	-	1.4	1.9	3.3	2.9	2.7	2.5	2.3
EV/EBITDA (UBS core)	-	6.4	7.6	11.2	10.5	9.2	8.2	7.5
EV/EBIT (core)	-	8.9	9.5	13.1	12.4	10.8	9.7	8.9
EV/OpFCF (core)	-	10.4	11.5	17.0	21.2	18.9	16.4	10.3
EV/op. invested capital	-	1.4	2.2	4.3	3.7	3.2	2.8	2.5

Enterprise value (¥b)	03/24	03/25	03/26	03/27E	03/28E	03/29E	03/30E	03/31E
Market cap.	-	859.9	1,611.6	3,232.7	3,232.7	3,232.7	3,232.7	3,232.7
Net debt (cash)	385.8	333.7	290.2	388.6	516.4	581.4	628.9	621.1
Buy out of minorities	93.4	96.5	111.8	142.2	171.4	202.2	230.9	261.4
Pension provisions/other	24.5	26.2	26.1	35.6	35.6	35.6	35.6	35.6
Total enterprise value	**-**	**1,316.2**	**2,039.7**	**3,993.9**	**3,956.0**	**4,051.8**	**4,128.0**	**4,150.7**
Non core assets	(374.8)	(320.0)	(372.2)	(483.0)	(593.8)	(704.6)	(815.5)	(926.3)
Core enterprise value	**-**	**996.3**	**1,667.5**	**3,510.9**	**3,362.2**	**3,347.1**	**3,312.6**	**3,224.4**

Growth (%)	03/24	03/25	03/26	03/27E	03/28E	03/29E	03/30E	03/31E
Revenue	-	(52.7)	23.7	20.7	7.9	8.0	8.1	5.8
EBITDA (UBS)	-	35.7	40.3	42.5	2.1	13.5	11.0	7.3
EBIT (UBS)	-	30.5	55.5	52.6	1.5	14.0	10.0	6.5
EPS (UBS, diluted)	-	(33.4)	53.3	68.1	6.3	15.0	6.1	6.4
Net DPS	-	-	-	-	(1.6)	15.0	6.1	6.4

Margins & Profitability (%)	03/24	03/25	03/26	03/27E	03/28E	03/29E	03/30E	03/31E
Gross profit margin	11.5	22.0	22.8	24.8	25.9	28.4	29.5	30.1
EBITDA margin	7.6	21.9	24.8	29.3	27.7	29.2	29.9	30.4
EBIT (UBS) margin	5.7	15.7	19.8	25.0	23.5	24.8	25.3	25.4
Net earnings (UBS) margin	6.8	9.5	11.8	16.2	15.5	16.6	17.3	17.4
ROIC (EBIT)	-	15.5	23.5	32.6	29.7	29.6	28.7	28.2
ROIC post tax	-	6.8	6.1	20.2	19.0	19.8	19.7	19.6
ROE (UBS)	-	11.0	15.6	24.6	24.1	23.1	21.9	19.8

Capital structure & Coverage (x)	03/24	03/25	03/26	03/27E	03/28E	03/29E	03/30E	03/31E
Net debt / EBITDA	3.3	1.8	1.4	1.5	1.7	1.7	1.6	1.4
Net debt / total equity %	53.5	39.6	35.6	58.5	56.5	51.8	46.9	36.9
Net debt / (net debt + total equity) %	34.9	28.3	26.3	36.9	36.1	34.1	31.9	26.9
Net debt/EV %	-	25.4	14.2	9.7	13.1	14.3	15.2	15.0
Capex / depreciation %	NM	143.9	169.1	NM	NM	NM	NM	172.4
Capex / revenue %	5.6	8.9	8.5	10.0	14.0	15.0	15.0	8.5
EBIT / net interest	18.9	34.6	49.2	55.9	51.7	45.3	47.0	46.0
Dividend cover (UBS)	-	-	-	3.8	4.1	4.1	4.2	4.2
Div. payout ratio (UBS) %	-	-	-	26.6	24.5	24.5	23.6	23.8

Revenues by division (¥b)	03/24	03/25	03/26	03/27E	03/28E	03/29E	03/30E	03/31E
Others	1,512.3	714.9	884.6	1,068.0	1,152.0	1,244.0	1,345.0	1,423.0
Total	**1,512.3**	**714.9**	**884.6**	**1,068.0**	**1,152.0**	**1,244.0**	**1,345.0**	**1,423.0**

EBIT (UBS) by division (¥b)	03/24	03/25	03/26	03/27E	03/28E	03/29E	03/30E	03/31E
Others	86.2	112.5	175.0	267.0	271.0	309.0	340.0	362.0
Total	**86.2**	**112.5**	**175.0**	**267.0**	**271.0**	**309.0**	**340.0**	**362.0**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Forecast returns

Forecast price appreciation	6.9%
Forecast dividend yield	1.5%
Forecast stock return	8.4%
Market return assumption	8.0%
Forecast excess return	0.4%

Company Description

Founded as a copper mining and smelting firm, the company leverages its integrated supply system spanning resource development through recycling and advanced nonferrous-metal technologies to focus on developing advanced materials for semiconductors and ICT. ENEOS Holdings is the largest shareholder, with an approximately 35% stake.

Valuation Method and Risk Statement

We use PBR to set our price target. We use our average ROE forecast for FY3/28-29 divided by our average COE forecast for FY3/28-29 minus g (terminal growth rate) as the fair-value PBR. We then arrive at our price target by multiplying this by our FY3/28 BPS forecast. Risk factors include 1) significant changes in copper prices and forex rates, 3) rapid change in earnings trends, asset quality deterioration, etc. for the projects or businesses the company invests in., and 3) rapid changes in demand in user sectors, mainly data centers and electronic components .

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

JX Advanced Metals

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	4
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	4
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	3
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	4
7. What's driving the difference?	Earnings Upside from Higher Copper Prices
8. Is there an upcoming catalyst for the company over the next three months?	Positive Catalyst
9. Is there an actual or approximate date for the catalyst?	November 6, 2026
10. Is the catalyst date an actual or approximate date?	Approximate
11. What is the catalyst?	Higher Copper Prices Drive Guidance Upgrade at Q2 earnings release

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12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	39%	20%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 September 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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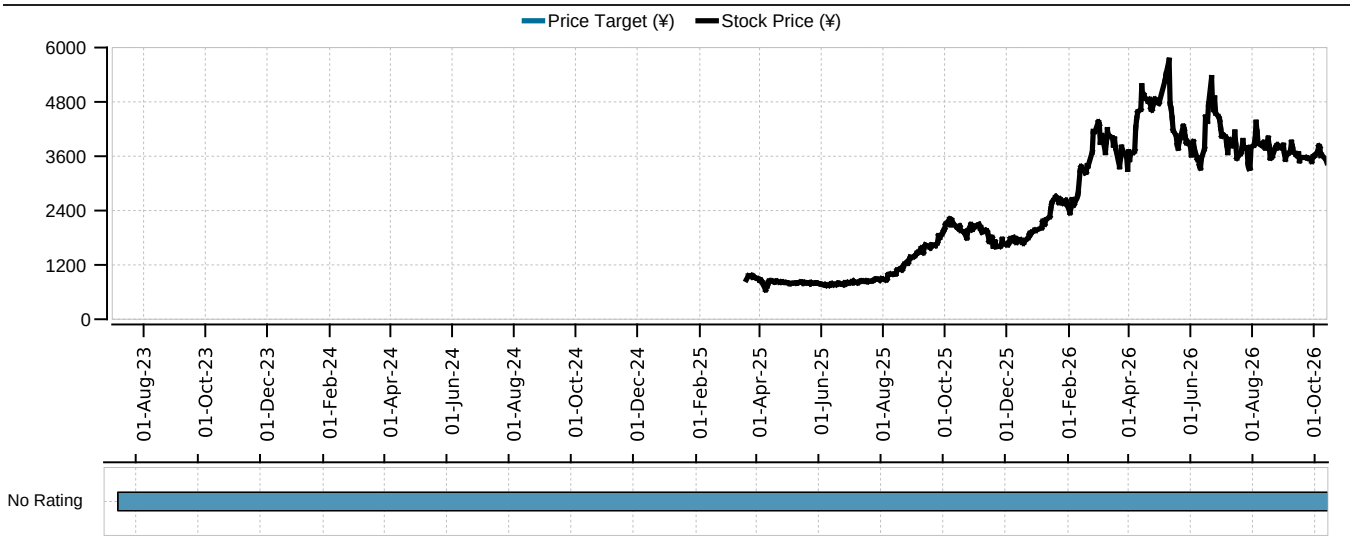
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Company Name	Reuters	12-month rating	Price	Price date
JX Advanced Metals[28]	5016.T	No Rating	¥3,460	14 Oct 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.
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JX Advanced Metals (¥)



Date	Stock Price (¥)	Price Target (¥)	Rating
2023-07-14	NaN	-	No Rating

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